BUSINESS REPORT

ShopSmart Retail Ltd: 2025 Sales Analysis

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₦7.58B	50,000	5,000	₦151,505	4.88%	₦3.17B
Revenue	Orders	Customers	Avg order value	Return rate	Inventory value

Summary. In 2025 ShopSmart recorded 50,000 orders from 5,000 customers across 25 stores. Sales are steady and evenly spread, but a third of orders were cancelled and another third are still pending, so the headline revenue overstates what the business has actually earned (assuming cancelled orders brought in no money).

Three key findings

1. **Sales are steady and evenly spread.** Monthly revenue stayed between ₦567M (February) and ₦661M (December), and February's dip is mostly its shorter month. The best store (STR015 Lagos, ₦311.9M) is only 6% ahead of the weakest (STR023 Abuja, ₦294.2M), and the top 10 products and top 10 customers make up just 2.7% and 0.5% of revenue.
2. **Beauty leads on size, Electronics on momentum.** Beauty is the largest category (₦1.76B, 23.3%), mainly because it has the most products (119). Electronics grew fastest (about 6% in the second half against the first), has the highest average order value (₦153,343) and a lower return rate (4.80%) than Beauty (5.08%) or Home (5.13%). Home is the only category that shrank (about 1%).
3. **Only a third of orders are completed.** Of 50,000 orders, 33.7% were cancelled (₦2.55B), 33.2% are pending (₦2.53B) and 33.1% are completed (₦2.50B). Without the cancelled orders, revenue is about ₦5.02B, and only ₦2.50B has been fully completed.

Three business recommendations

1. **Find out why one in three orders is cancelled and clear the pending backlog.** Review cancellations by store, sales channel and payment method, set a target for completing pending orders, and report completed revenue as the headline figure from now on.
2. **Reorder the 21 low-stock products now.** They are 4.2% of the catalogue, spread over 14 stores. Start with Kaduna (STR006) and Port Harcourt (STR014), 3 each, and the biggest gaps (Beauty Item 479, Home Item 414, Home Item 212), then send store managers a monthly low-stock report.
3. **Review product returns, starting with Home.** The overall return rate is 4.88%, with Home (5.13%) and Beauty (5.08%) highest. Check the most-returned products (Home Item 263, Beauty Item 262, Beauty Item 443) for quality or description problems, and set a returns target for each category.

Risk and opportunity

Risk: the source data may mislead decisions
Discounts are subtracted as flat amounts although they look like percentages, 1,252 returns are dated before their order, 58 orders are returned twice, and the Region labels do not match the cities. Until the client confirms these points, regional and discount conclusions should be treated with caution.

Opportunity: grow Electronics
Electronics is the fastest-growing category with the highest average order value, and it earns ₦15.4M per product against ₦14.8M for Beauty. Because sales are spread evenly across stores, a wider range and promotion can be tested in a few stores first and then rolled out.

Basis: all 50,000 orders (Completed, Pending and Cancelled); amounts assumed to be in naira; return rate = unique returned orders ÷ total orders. Source: ShopSmart_Analysis.xlsx.